

offset the dollar shortage? How about the aftereffect of an erosion of the dollar (following the overachievement of success of U.S. policies) and the contribution of that erosion to the high returns on foreign stocks?

These conditions that contributed to the happy result of foreign investing no longer exist. Foreign economies are on their own now, are heavily reliant on U.S. technology, and do not even approach the natural advantages of the U.S. economy or, in most cases, the political stability of the U.S.

REAL ESTATE

As everyone knows, real estate investments generally have been far superior to common stocks over the last 15 years. In fact, just about every kind of asset has been superior to common stocks.

After an extended period of massive credit infusions that have served to stimulate the real estate inflation, many large portfolios are now concluding that that is where they ought to be. It seems likely that those portfolios are making the same mistakes that were made in 1972 by assuming that growth stocks were the only place to be after price/earnings ratios had tripled and quadrupled.

FIXED-INCOME SECURITIES

Fixed-income securities are deemed useful to dampen variability of return, in other words, to lessen "risk." While I would acknowledge that long-term fixed-income returns are heavily dependent on the interest rate on the reinvestment of interest income, which in turn may give the investor a shot at matching inflation, this concept has no validity for many investors such as endowments, foundations, and individuals